

GLITTER METER

How much money each gram of gold can fetch you and the interest you need to pay on that loan

Loan per gm	Interest rate per annum	Period
Rs 1,187	30.92%	1 month
Rs 1,087	27.86%	6 months
Rs 1,037	14%	1 year
*Rs 1,250	14.5%	6 months
*Rs 1,250	12.5%	1 year

*Pertains to banks for 22 carat gold at Rs 14,985 for 10 gms; other figures are for private players and NBFCs

people from the unorganised sector have been lending against gold, so about two years ago we felt that there was an opportunity for a product like gold loan as it's easier and cheaper than a personal loan." HDFC Bank has designated gold loan branches where a gold valuation expert sits and assesses the quality of the gold and the amount that can be loaned.

So how can you borrow against your gold? You can simply walk into a branch of a bank or NBFC across India with gold jewellery or coins and get them valued. Depending on the quality of the gold, the lender will give you approximately 25 per cent less (for 22 carat gold) than the value of the gold, which is the margin that the lender keeps as protection against volatility in gold prices. A processing fee of 2 per cent is charged by banks while NBFCs charge Rs 8-10. A consumer can get between Rs 1,187 and Rs 1,250 for a gram of gold (assuming the gold rate at Rs 14,985 for 10 gms), depending on who the lender is. One has to sign a demand promissory note where all the terms and conditions are laid out. Explains Suresh K.P., regional manager of Manappuram Finance, Kerala-based gold finance company: "We have been in this business since 1949 and have a portfolio of Rs 16,000 crore, but only recently we started expanding to other parts of the country.

amount in one bullet payment. The loan tenure ranges from 30 to 365 days. In case the borrower is unable to repay, the tenure can be enhanced by paying interest for the additional period. And if one is still unable to repay, then after three personal intimations via registered post, the borrower is made to sign an intimation letter which clearly states that the gold will not be returned. SBI is disbursing large amounts of crop and term loans to farmers in rural areas under this scheme. It disburses crop loans against gold up to Rs 3 lakh at 7 per cent interest per annum. The government gives a subvention of 3 per cent to banks for giving crop loans so SBI earns 10 per cent on crop loans against gold. Farmers can even re-

C SHANKAR



LATHA, 45 CHENNAI

In order to meet her brother's wedding expenses, Latha has taken a short-term gold loan from Manappuram Finance in Thiruvananthapuram. Rather than go to any of the local moneylenders, Latha has found it convenient to take a hassle-free loan from the gold loan company. Consumers across the country are increasingly leveraging their investments in gold to raise money for short durations to meet sudden expenses.

From businessmen to housewives, we cater to short-term financing needs of consumers both in urban and rural areas. If they go to moneylenders, they have to pay upwards of 40 per cent, but we offer better rates."

While banks charge interest upfront for the entire duration, NBFCs offer the option of paying it monthly. At the end of the stipulated tenure, the customer has to return the principal

involve the crop loans.

Given that banks are risk averse in this environment, gold loans are becoming popular. Banks and NBFCs, however, agree that apart from south India, elsewhere in the country there seems to be a social stigma attached with pledging gold. But that is changing as consumers of this asset class realise that leveraging gold in times of need makes for a smart decision. ■